

How is our \$10 000 looking today after all this carnage? It would now be worth a staggering **\$923 107**.

Now, the average super fund charges a fee of 0.80 per cent p.a. (per year), plus \$70 a year.

Could I find a lower-cost fund?

The hunt was on.

I found one that could do it for a fee of just 0.13 per cent p.a., plus \$78 per year (see the box on [page](#) for details.)

Now, the difference between my 'index fund' (0.13 per cent) and the average fund (0.80 per cent) was only a piddly 0.67 per cent per year in fees.

But check out what happened when I crunched the numbers (to keep things simple, I've used after-inflation figures—ask your economics teacher about it).

My nephews are going to work for, say, 55 years.

At the end of those 55 years, guess what their end balance is with a fund that charges fees of 0.80 per cent?

\$1 979 997

However, if they'd paid just 0.67 per cent less in fees with a lower-cost fund, they'd have:

\$2 433 326

In other words, they will have around **\$453 329 more** just by ticking a form and choosing a lower-cost fund!

That's why my advice to you is the same as I gave them:

'You guys are going to work for the next 55 years. Yet spending 15 minutes choosing a cheaper fund will have a bigger impact on your final balance than your employer's contributions over the entire period!'

'I call it Uncle Scott's \$453 329 gift,' I said to the boys. 'Now hand me a beer!'